

Tencent (0700)

Compounding core, bounded AI, trough multiple

We reiterate our Overweight on Tencent. Our thesis: Tencent is a high-quality earnings compounder at trough valuation, with the 1Q26 disclosure framework materially reducing AI investment overhang that has weighed on multiples. Consolidated non-IFRS EPS grew 12% YoY in 1Q26, tracking above consensus FY26 modeling 5-8% growth, while the bifurcated P&L sizes AI investment line at a known annual envelope: removing the unbounded scenario from the bear case. Own Tencent for a compounding consolidated earnings stream, bounded AI investment risk, and trough ~14x FY26E PE — a combination rarely available at this stage of the cycle.

- Our published view rested on four filters: low expectations, real earnings floor, self-funded AI investment, and a dated catalyst within 3-6 months. The print did not deliver a single thesis-defining catalyst; management, on both the briefing call and callback, declined to commit to a quantitative AI target, ROI framework, or flagship model timeline. What the print delivered instead, more valuable in our view, is a quarterly disclosure framework that converts the AI-dilution debate from narrative argument to bounded P&L line. We believe the rerate will play out over 6-12 months, driven by modest consensus EPS revisions across the next 2-3 prints plus gradual compression of the AI-overhang risk premium.
- The evidence stacks in two layers. On consolidated metrics that drive valuation: non-IFRS NP grew 11% YoY, non-IFRS EPS +12% YoY (helped by buyback), gross margin expanded 1ppt to 57%, and free cash flow of Rmb57bn comfortably funded Rmb37bn of CapEx and Rmb7.9bn of buyback with net cash building sequentially. On the disclosure that bounds risk: non-IFRS OP ex-new-AI-products of Rmb84.4bn at a 43% margin signals the underlying franchise is healthier than headline reads, with the ~Rmb8.8bn quarterly AI drag annualizing to the Rmb36bn FY26 envelope that management previously committed to. Marketing services accelerated to +20% YoY and business services held +20% YoY, supporting the revision pathway.
- Three risks merit watch. First, CapEx of Rmb37bn in 1Q26 implies a FY26 run-rate of Rmb130-150bn, well above 2025 — a faster ramp could re-energize the AI spend discipline concern. Second, 1Q26 consolidated growth included one-off tailwinds (lower YoY SBC, strong investment gains); a cleaner run-rate may show less gap versus consensus, narrowing the revision case. Third, the "new AI products" scope risks creep over subsequent quarters, diluting the analytical cleanness of the bifurcated disclosure. We monitor these closely across the next two prints.

Overweight

0700.HK, 700 HK

Price (13 May 26): HK\$462.60

Price Target (Dec-26): HK\$690.00

China

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	30.54	30.09	-1.5%
Adj. EPS - 27E (Rmb)	34.88	34.16	-2.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
Q1	6.62	7.40A	8.27
Q2	6.82	7.09	8.17
Q3	7.64	7.70	8.75
Q4	7.00	7.90	8.97
FY	28.08	30.09	34.16

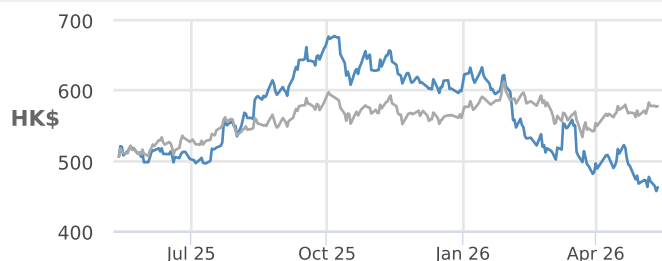
Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	15	24	26	24	24
Growth	32	39	62	63	42
Momentum	66	29	17	29	53
Quality	13	12	22	25	18
Low Vol	34	31	39	71	29
ESGQ	15	26	15	86	19

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 0700.HK Price (HK\$) — HSI (rebased)

	YTD	1m	3m	12m
Abs	-22.8%	-5.6%	-13.0%	-8.6%
Rel	-25.8%	-8.4%	-12.4%	-22.8%

Company Data

Shares O/S (mn)	9,525
52-week range (HK\$)	683.00-454.00
Market cap (\$ mn)	562,843
Exchange rate	7.83
Free float (%)	67.4%
3M ADV (mn)	27.21
3M ADV (\$ mn)	1,763.9
Volatility (90 Day)	33
Index	HSI
BBG ANR (Buy Hold Sell)	65 2 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	751,766	841,516	924,386	1,013,075
Adj. EBIT	280,656	314,016	357,128	396,591
Adj. EBITDA	307,590	347,071	386,575	419,792
Adj. net income	259,626	275,426	309,584	343,567
Adj. EPS	28.08	30.09	34.16	38.36
BBG EPS	28.08	30.37	34.10	37.91
Cashflow from operations	303,052	271,506	349,556	332,270
FCFF	223,854	178,098	251,571	229,949
Margins and Growth				
Revenue Growth Y/Y (%)	13.9%	11.9%	9.8%	9.6%
EBIT margin	37.3%	37.3%	38.6%	39.1%
EBIT Growth Y/Y (%)	18.0%	11.9%	13.7%	11.1%
EBITDA margin	40.9%	41.2%	41.8%	41.4%
EBITDA Growth Y/Y (%)	(3.0%)	12.8%	11.4%	8.6%
Net margin	34.5%	32.7%	33.5%	33.9%
Adj. EPS growth	18.8%	7.2%	13.5%	12.3%
Ratios				
Adj. tax rate	15.0%	17.4%	17.2%	16.9%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	22.6%	20.4%	19.7%	18.9%
Valuation				
FCFF yield	6.0%	4.8%	6.9%	6.4%
Dividend yield	1.2%	1.3%	1.5%	1.6%
EV/Revenue	4.5	3.8	3.1	2.6
EV/EBITDA	11.1	9.1	7.5	6.4
Adj. P/E	14.3	13.3	11.8	10.5

Summary Investment Thesis and Valuation

We view Tencent as a “fundamentals-plus-optionality” story into 2026: core engines (Weixin ecosystem, ads, and gaming) remain resilient, and we expect the AI narrative to matter more than incremental earnings revisions for share-price direction. Tencent has historically taken a measured, integration-first approach to new platform shifts, and we see its GenAI rollout as earlier-stage versus some peers in terms of visible model showcases and standalone app momentum because management appears to prioritize reliability, compliance, and ecosystem fit before scaling. That positioning leaves the stock less “AI-priced” in our view, which creates upside optionality if Tencent demonstrates clear execution and product-market fit in 2026.

Our Dec-26 PT of HK\$690 is based on 21x 2026E P/E, at the top end of tier-1 Internet stocks’ current consensus valuation range given Tencent’s solid operations and the fact that it is well positioned to benefit from GenAI.

Performance Drivers

Market	44%
Region	41%
Macro	1%
Style	1%
Idiosyn.	13%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.67
Region: China	0.81	0.86
Macro:		
Citi Economic Surprise - EM	0.00	-0.25
HSI Volatility Index	-0.09	-0.19
JPM China A-shares Sentiment	0.07	0.17
Quant Styles:		
Size	0.18	0.19
LowVol	-0.06	-0.12
Growth	0.09	0.08

Estimate changes: We fine-tune 2026-27E revenue by 2-3% to reflect a bit weaker than expected game growth, and therefore lower non-IFRS net income by 2-3%. We maintain our Dec-26 PT unchanged at HK\$690 (lower earnings offset by Rmb appreciation), still based on 21x 2026E P/E.

Table 1: Tencent earnings revision summary

YE 31 Dec	2026E					2027E				
RMBm	JPM old	JPM new	% change	Consensus	% delta	JPM old	JPM new	% change	Consensus	% delta
VAS	410,275	401,548	-2%	403,185	0%	446,320	432,601	-3%	435,731	-1%
SNS	133,011	133,443	0%	134,015	0%	135,803	138,108	2%	140,780	-2%
Online games	277,265	268,105	-3%	268,576	0%	310,516	294,493	-5%	294,243	0%
Domestic games	185,989	180,486	-3%	181,607	-1%	205,597	196,576	-4%	196,325	0%
International games	91,275	87,619	-4%	85,909	2%	104,919	97,917	-7%	96,063	2%
Advertising	168,914	168,972	0%	170,058	-1%	191,849	191,943	0%	195,515	-2%
Net Revenue	854,708	841,516	-2%	832,690	1%	952,654	924,386	-3%	915,075	1%
Gross profit	482,064	485,393	1%	474,009	2%	541,572	539,031	0%	527,632	2%
Opex	(208,965)	(210,550)	1%			(227,191)	(229,947)	1%		
Sales	(48,044)	(50,388)	5%			(50,751)	(52,577)	4%		
PBT	298,909	296,899	-1%		na	340,934	329,712	-3%		na
Net income	243,074	233,194	-4%	241,311	-3%	277,716	259,540	-7%	271,888	-5%
Net income, non-IFRS	281,250	275,426	-2%	290,960	-5%	318,131	309,584	-3%	324,029	-4%
EPS (RMB)	26.39	25.48	-3%	26.83	-5%	30.45	28.64	-6%	30.58	-6%
EPS, non IFRS (RMB)	30.54	30.09	-1%	30.37	-1%	34.88	34.16	-2%	34.10	0%

Source: Bloomberg Finance L.P. estimates., J. P. Morgan Estimates (data as of May 13, 2026).

Investment Thesis, Valuation and Risks

Tencent (*Overweight; Price Target: HK\$690.00*)

Investment Thesis

We view Tencent as a “fundamentals-plus-optionality” story into 2026: core engines (Weixin ecosystem, ads, and gaming) remain resilient, and we expect the AI narrative to matter more than incremental earnings revisions for share-price direction. Tencent has historically taken a measured, integration-first approach to new platform shifts, and we see its GenAI rollout as earlier-stage versus some peers in terms of visible model showcases and standalone app momentum because management appears to prioritize reliability, compliance, and ecosystem fit before scaling. That positioning leaves the stock less “AI-priced” in our view, which creates upside optionality if Tencent demonstrates clear execution and product-market fit in 2026.

Valuation

Our Dec-26 PT of HK\$690 is based on 21x 2026E P/E, at the top end of tier-1 Internet stocks’ current consensus valuation range, given Tencent’s solid operations and the fact that it is well positioned to benefit from GenAI.

Risks to Rating and Price Target

Downside risks to our rating and PT include:

- Further regulatory tightening for games.
- A continued slowdown in the macro economy.
- Inability to launch successful mobile game titles continuously.
- A slower-than-expected ramp-up of mobile ad revenue.
- Video content spend.
- Higher-than-expected investments into new initiatives (e.g., Cloud and Internet finance) due to intensified competition, leading to margin pressure.

Upside risks include:

- Tencent to launch and monetize its new game titles in China.
- A better macro environment to support ads growth.
- Policy support in cloud, business service, etc.

Tencent (0700): Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	660,257	751,766	841,516	924,386	1,013,075	Cash flow from operating activities	258,521	303,052	271,506	349,556	332,270
COGS	(311,011)	(329,173)	(356,123)	(385,355)	(416,941)	o/w Depreciation & amortization	56,213	66,028	72,228	77,492	82,900
Gross profit	349,246	422,593	485,393	539,031	596,134	o/w Changes in working capital	21,881	12,147	11,766	16,128	12,860
SG&A	(149,149)	(177,854)	(199,803)	(213,947)	(241,642)	Cash flow from investing activities	(122,187)	(205,732)	(255,748)	(308,980)	(366,835)
Adj. EBITDA	316,971	307,590	347,071	386,575	419,792	o/w Capital expenditure	(89,321)	(105,592)	(119,802)	(124,379)	(128,715)
D&A	(108,872)	(66,028)	(72,228)	(77,492)	(82,900)	as % of sales	13.5%	14.0%	14.2%	13.5%	12.7%
Adj. EBIT	237,755	280,656	314,016	357,128	396,591	Cash flow from financing activities	(176,494)	(87,155)	(8,053)	(12,705)	(16,379)
Net Interest	16,004	16,909	16,925	16,000	16,000	o/w Dividends paid	(31,244)	(35,757)	(38,053)	(42,705)	(46,379)
Adj. PBT	271,141	316,343	337,013	378,303	417,219	o/w Shares issued/(repurchased)	1,932	0	0	0	0
Tax	(45,018)	(47,448)	(58,510)	(64,976)	(70,456)	o/w Net debt issued/(repaid)	-	-	-	-	-
Minority Interest	(2,394)	(4,959)	(5,196)	(5,196)	(5,196)	Net change in cash	(39,801)	8,522	21,954	40,695	(38,120)
Adj. Net Income	222,703	259,626	275,426	309,584	343,567	Adj. Free cash flow to firm	195,594	223,854	178,098	251,571	229,949
Reported EPS	20.59	24.32	25.58	28.70	31.48	y/y Growth	(2.7%)	14.4%	(20.4%)	41.3%	(8.6%)
Adj. EPS	23.63	28.08	30.09	34.16	38.36						
DPS	4.19	4.95	5.19	5.83	6.41						
Payout ratio	20.4%	20.4%	20.3%	20.3%	20.4%						
Shares outstanding	9,424	9,246	9,152	9,064	8,955						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	132,519	141,041	162,995	203,690	165,570	Gross margin	52.9%	56.2%	57.7%	58.3%	58.8%
Accounts receivable	48,203	49,930	54,924	60,333	66,122	EBITDA margin	48.0%	40.9%	41.2%	41.8%	41.4%
Inventories	440	530	1,355	1,488	1,631	EBIT margin	36.0%	37.3%	37.3%	38.6%	39.1%
Other current assets	315,018	403,959	419,080	427,363	444,128	Net profit margin	33.7%	34.5%	32.7%	33.5%	33.9%
Current assets	496,180	595,460	638,355	692,875	677,451	ROE	23.1%	22.6%	20.4%	19.7%	18.9%
PP&E	133,283	199,281	220,462	240,955	260,375	ROA	13.3%	13.6%	12.7%	12.6%	12.4%
LT investments	550,988	589,287	499,412	433,863	395,075	ROCE	16.9%	17.3%	16.0%	15.8%	15.3%
Other non current assets	600,544	654,958	956,123	1,241,466	1,595,323	SG&A/Sales	22.6%	23.7%	23.7%	23.1%	23.9%
Total assets	1,780,995	2,038,986	2,314,351	2,609,159	2,928,224	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	61,508	53,160	53,160	53,160	53,160	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	202,744	217,623	237,160	254,954	277,496	Sales/Assets (x)	0.4	0.4	0.4	0.4	0.4
Other short term liabilities	132,657	141,968	155,137	167,297	180,311	Assets/Equity (x)	1.7	1.7	1.6	1.6	1.5
Current liabilities	396,909	412,751	445,458	475,411	510,967	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	146,521	208,369	238,369	268,369	298,369	Operating leverage	284.1%	130.2%	99.6%	139.4%	115.2%
Other long term liabilities	183,669	176,801	176,801	176,801	176,801	Tax rate	16.6%	15.0%	17.4%	17.2%	16.9%
Total liabilities	727,099	797,921	860,628	920,581	986,137	Revenue y/y Growth	8.4%	13.9%	11.9%	9.8%	9.6%
Shareholders' equity	1,053,896	1,241,065	1,453,723	1,688,578	1,942,087	EBITDA y/y Growth	33.4%	(3.0%)	12.8%	11.4%	8.6%
Minority interests	-	-	-	-	-	EPS y/y Growth	44.2%	18.8%	7.2%	13.5%	12.3%
Total liabilities & equity	1,780,995	2,038,986	2,314,351	2,609,159	2,928,224						
BVPS	113.39	136.50	161.30	189.19	220.23	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	22.9%	20.4%	18.2%	17.3%	16.4%	P/E (x)	17.0	14.3	13.3	11.8	10.5
						P/BV (x)	3.5	2.9	2.5	2.1	1.8
Net debt/(cash)	(120,801)	(123,290)	(115,244)	(125,939)	(57,819)	EV/EBITDA (x)	10.9	11.1	9.1	7.5	6.4
						Dividend Yield	1.0%	1.2%	1.3%	1.5%	1.6%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Tencent (0700) (0700.HK, 700 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 07, 2010. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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